

The price is private. The proof is in the ledger.

Confidential invoice financing on Canton. Suppliers turn buyer-approved invoices into same-day cash from competing financiers, without leaking their cost of capital to the buyer, and with the ledger structurally preventing the same invoice from being financed twice.

01 The problem

Mid-market suppliers wait 30 to 90 days to be paid; working capital sits trapped in receivables. Factoring exists, but three structural flaws keep it expensive and risky:

- 01 **Pricing leaks.** When a buyer can see the discount a supplier accepts, it reads supplier distress and squeezes commercial terms. Confidentiality of the margin is commercially load-bearing, not a nicety.
- 02 **Double-pledge fraud.** The same receivable financed to two lenders is a classic loss vector, policed today by registries and manual checks that race each other, cost money, and still fail.
- 03 **Reconciliation-heavy settlement** across institutions that do not share a database and do not fully trust each other.

02 Why it matters

Receivables finance is a multi-trillion dollar annual market, and the controls that keep it honest are procedural rather than structural: trust, registries, and manual verification. Even low single-digit loss or dispute rates can erase a lender's margin. And the leak is not incidental, because in this market the price is the sensitive datum. Today a supplier must choose between cash flow and confidentiality. That choice is an artefact of the plumbing, not a law of finance.

ONE DEAL, REAL NUMBERS FROM THE LIVE DEMO

\$98,030

advanced to the supplier, today

\$1,970

financier spread (about 12% APR)

1.97%

discount, visible to 2 of 4 parties

A \$100,000 buyer-approved invoice, 60 day tenor. The buyer and the auditor never receive the rate: their participant nodes are not stakeholders of the contract that carries it.

03 What we built, and the value

A supplier sells a buyer-approved invoice to a financier at a discount. Three guarantees are enforced by the ledger, not by the interface:

- 01 **Selective disclosure.** The discount rate lives on a contract whose only stakeholders are the financier and the supplier. The buyer is never a stakeholder, so the margin never reaches the buyer's node. Same invoice, four nodes, two different views.
- 02 **Single-exercise anti-double-pledge.** The invoice is one authoritative contract and financing is a consuming choice, so a second financing attempt is rejected by the ledger itself. Double pledging is structurally impossible, not merely policed.
- 03 **Atomic DvP.** The supplier is paid and the receivable is assigned in a single transaction. Credit and payment never drift apart.

An AI credit-scoring agent underwrites the receivable over only the data the financier is entitled to see, and a second mode, Veild, runs a sealed-bid auction in which no financier can see a rival's bid and losing bids are never revealed.

04 Who gains what

Supplier. Same-day liquidity at a confidential price. The buyer cannot infer distress and reprice the relationship.

Buyer. A healthier supply chain at zero cost, and it still pays face value at maturity to whoever holds the receivable.

Financier. A lower loss ratio (double pledging is impossible, not audited after the fact) and lower underwriting cost via the agent.

Auditor. Oversight of existence, uniqueness and settlement, without ever seeing commercially sensitive pricing.

Incentives align cleanly: confidentiality protects the supplier, structural uniqueness protects the financier, and atomic DvP protects both.

05 Why this needs Canton

REQUIREMENT	PUBLIC CHAIN	SHARED DATABASE	CANTON
Margin invisible to the buyer	Leaks	A revocable permission	Never reaches the node
Same invoice financed only once	Visible, not enforced	Policy or registry	Consuming contract, rejected
Atomic DvP across rival institutions	Yes	Needs a trusted operator	Yes
Regulator audit without pricing	No	Partial	Selective disclosure

A database gives no cross-institution guarantee; a public chain gives guarantees but destroys confidentiality, where sealed bids would leak through logs before the reveal. Canton is the only place both hold at once.

06 Proof, not assertion

Every claim above is proven by Daml Script tests that query the ledger as each party: the buyer queries for the financing terms and gets nothing, a second financing on the same invoice is rejected on-ledger, and settlement moves cash and receivable atomically. The whole system is live and interactive, running as persistent services, not a local script.

Honest scope: the cash leg is a mock owner-signed holding standing in for a token-standard holding. The DvP atomicity is real; real token-standard settlement is the next step.